Notes: Pande (AER, 2003)

Can Mandated Political Representation Increase Policy Influence for Disadvantaged Minorities? Theory and Evidence from India

Contents

1 Big picture

- **Research question.** Can mandated political representation increase policy influence for disadvantaged minorities? In this paper, the relevant mandates are political reservations for Scheduled Castes (SCs) and Scheduled Tribes (STs) in Indian state legislatures.
- **Institution.** In reserved constituencies, only candidates from the reserved group may stand for election, but the entire electorate votes. Thus reservation changes legislator identity without changing voter identity.
- **Core idea.** If parties can fully commit candidates to policies, candidate identity should not matter. If commitment is incomplete and legislators have bargaining power inside the legislature, then changing legislator identity can change policy.
- **Empirical strategy.** The paper exploits the fact that reservation shares are mechanically tied to group population shares measured by the census, but are updated only after new census information or institutional revisions. This creates within-state changes in reservation that can be studied while controlling for the population shares that generate the reservation rules.
- **Main finding.** Political reservation increases redistribution toward the group that benefits from the mandate. SC reservation increases job quotas; ST reservation increases ST welfare spending.
- **General-policy effects.** ST reservation raises total state spending and lowers education spending, suggesting that some targeted redistribution may come partly at the expense of broad education programs.
- **Interpretation.** The evidence implies that legislator identity matters for policy. This supports models in which parties cannot fully commit legislators to policy positions after elections.
- **Economic takeaway.** Descriptive representation can translate into substantive policy influence. Mandated representation does not merely change who sits in the legislature; it changes how public resources are allocated.

2 Incremental contribution of the paper

- **From representation to policy.** Much work documents political underrepresentation of disadvantaged groups. Pande asks whether increasing representation changes actual policy outcomes.
- **Direct test of policy commitment.** The paper uses political reservation as a test of whether candidate identity is irrelevant once parties make policy promises. The evidence rejects full irrelevance in this setting.
- **Clean institutional source of variation.** Reservation rules are based on census population shares, but the timing of updates is discrete and institutionally determined. This helps separate the effect of representation from the effect of group population size.
- **State-level panel evidence.** The paper studies 16 major Indian states over 1960-1992, using state and year fixed effects and a variety of population and economic controls.

- **Group-specific policy outcomes.** The analysis separates policies targeted to SCs, policies targeted to STs, and general policies. This allows the paper to show that different groups use representation differently.
- **Political-economy interpretation.** The empirical results are tied to a simple model in which reservation matters only when parties cannot enforce complete policy commitment and legislators have voice in policy-making.
- **Welfare caution.** The paper does not claim that reservation necessarily improves welfare. It shows that reservation changes policy influence, not that the resulting allocation is socially optimal.

3 Institutional background and data

3.1 Political reservation in Indian states

The Indian constitution mandates political reservation for SCs and STs in state and national elections. A constituency reserved for SCs can only have SC candidates; a constituency reserved for STs can only have ST candidates. Voters from all groups still vote in these constituencies.

- **Scheduled Castes.** These are historically disadvantaged caste groups, selected using criteria related to untouchability, exclusion from public amenities, and social discrimination.
- **Scheduled Tribes.** These are groups identified by tribal origin, primitive ways of life, geographic remoteness, and general backwardness.
- **Reservation rule.** The fraction of constituencies reserved for a group in a state should equal, as nearly as possible, that group's population share in the state.
- **Implementation.** The Election Commission and Delimitation Commission implement changes. Their orders have legal force.
- **Key timing feature.** Group population shares vary continuously, but reservation shares only change when new census estimates or institutional revisions are implemented.

Interpretation. Reservation provides a way to change legislator identity while keeping the electorate unchanged. This is why it is useful for studying whether identity-based representation affects policy.

3.2 Data

The unit of observation is the Indian state-year. The sample covers 16 major Indian states from 1960 to 1992. The data account for more than 95 percent of India's population during the sample period.

- **Political variables.** SC reservation and ST reservation are the fractions of state legislative constituencies reserved for SCs and STs.
- **Population controls.** The paper uses both census population shares, which determine reservation, and current population shares, which capture contemporaneous demography.

- **General policies.** Total real per capita state spending, the education share of state spending, and land reform legislation.
- **Targeted policies.** SC welfare spending, ST welfare spending, and job quotas for SCs and STs.
- **Economic controls.** Lagged state income per capita, census population density, and election-year indicators.

3.3 Why SCs and STs may use policy influence differently

The paper emphasizes that SCs and STs are both disadvantaged minorities but differ in ways that matter for policy.

- SCs are more geographically dispersed and relatively more educated than STs.
- STs are more geographically concentrated and often live in more isolated areas.
- These differences imply that SC legislators may benefit more from individual-specific policies such as job quotas, while ST legislators may benefit more from geographically targeted welfare spending.

4 Theory and empirical specifications

4.1 Theoretical model

The model has citizens who differ by income and caste. Individuals may be rich or poor, and high caste or low caste. Policy has two redistributive instruments:

- **General redistribution,** which transfers resources from rich to poor individuals.
- **Targeted redistribution,** which transfers resources to low-caste individuals.

The theoretical setup shows that policy effects of reservation depend on two institutional features.

- **Policy commitment.** If parties can commit candidates to a party policy before elections, then candidate identity does not affect policy.
- **Legislative voice.** If legislators cannot be fully committed and have some influence in the legislature, their identity can affect policy.

4.2 Main theoretical results

- **Result 1.** If low-caste citizens are underrepresented inside political parties, there can be an equilibrium with no low-caste candidates and no targeted redistribution.
- **Result 2.** If parties can fully commit candidates to policies, reservation has no effect on policy. If full commitment is absent, reservation increases the likelihood of targeted redistribution.

Interpretation. The empirical question is therefore not simply whether reservation changes representation. It is whether representation affects policy, which would imply incomplete policy commitment and legislator influence.

4.3 Baseline empirical specification

For state s and year t, the baseline specification is:

$$Y_{st} = \alpha_s + \beta_t + \gamma R_{st} + \varepsilon_{st},$$

where Y_{st} is a policy outcome, R_{st} contains SC reservation and ST reservation, α_s are state fixed effects, and β_t are year fixed effects.

The full specification adds the variables most likely to confound the reservation-policy relationship:

$$Y_{st} = \alpha_s + \beta_t + \gamma R_{st} + \phi P_{st}^{census} + \delta P_{st}^{current} + \eta X_{st} + \varepsilon_{st}.$$

Here P_{st}^{census} contains SC and ST census population shares, $P_{st}^{current}$ contains current population shares, and X_{st} includes lagged state income per capita, census population density, and an election-year dummy.

4.4 Identification logic

The coefficient of interest is γ, which measures how policy changes when the fraction of reserved constituencies changes within a state.

- The constitution ties reservation to census population shares.
- Reservation changes only discretely, when census information or institutional rules are updated.
- The paper controls directly for both census and current population shares.
- Therefore, identification comes from the discontinuous institutional adjustment in representation rather than from simple differences in group size.

5 Identification and interpretation

5.1 What the paper can identify

The paper identifies whether changes in mandated representation are associated with changes in policy outcomes within the same state over time, after controlling for population shares and other controls.

This is evidence on policy influence, not a complete welfare evaluation. The paper does not estimate whether the new spending mix improves the welfare of SCs, STs, or the overall population.

5.2 Why population controls are central

The same population shares that determine reservation may also directly affect policy demand. For example, a state with a larger ST population might spend more on ST welfare even without reservation. The paper therefore controls for census and current population shares to separate demographic effects from representation effects.

5.3 Why the lagged updating rule helps

If reservation changed continuously with population shares, it would be very hard to separate representation from population size. The institutional lag creates a sharper source of variation: representation changes at particular election years after census or rule changes.

5.4 Main threats to interpretation

- **Omitted population dynamics.** Group population shares may be correlated with unobserved trends in policy preferences.
- **State-specific trends.** States may experience policy changes for reasons unrelated to reservation.
- **Election timing.** Reservation changes occur at elections, so the paper controls for election years.
- **Measurement of population shares.** Intercensal years require interpolation, so the paper tests robustness to lagged and nonlinear population controls.

5.5 Interpretation of the main findings

The strongest interpretation is that reservation changes policy because it changes the identity of legislators. This implies that parties cannot fully commit all candidates to a single party policy and that legislators belonging to reserved groups have some voice in policy-making.

6 Tables and figures

6.1 Table 1: Preferred redistributive policy by caste and income

Read:

- Table 1 summarizes the redistributive preferences in the theoretical model.
- Rich high-caste individuals prefer no taxation and no redistribution.
- Poor high-caste individuals prefer general redistribution.
- Poor low-caste individuals prefer targeted redistribution.

- Rich low-caste preferences depend on the demographic condition in the model: they may prefer targeted redistribution or no redistribution.

Economic message: The model generates group-specific policy preferences. Reservation can matter because reserved legislators may have different preferences over targeted redistribution.

6.2 Tables 2 and 3: Defining disadvantaged groups and documenting disadvantage

Read Table 2:

- Table 2 reports the legal criteria used to identify Scheduled Castes and Scheduled Tribes.
- SC identification is based on caste exclusion and social disabilities, such as exclusion from public amenities and pollution rules.
- ST identification is based on tribal origin, geographic remoteness, primitive ways of life, and general backwardness.

Read Table 3:

- SCs account for 16.4 percent of the population, and STs account for 7.9 percent.
- Both groups are poorer and less literate than the non-SC/ST population.
- Poverty rates are 48.3 percent for SCs, 52.0 percent for STs, and 31.4 percent for the non-SC/ST population.
- STs are especially rural and concentrated in the primary sector.

Economic message: The groups receiving mandated representation are economically and socially disadvantaged, which motivates the policy question.

TABLE 1—PREFERRED REDISTRIBUTIVE POLICY, BY CASTE AND INCOME

Group	Preferred redistributive policy
Rich high caste	$t = 0$ and no redistribution
Poor high caste	$t = 1$ and general redistribution
Rich low caste	$t = 1$ and targeted redistribution if $\lambda_L^p < \lambda^* \equiv \dfrac{\lambda_H^p y^p + \lambda_H^r y^r}{y^r - y^p}$; else $t = 0$ and no redistribution
Poor low caste	$t = 1$ and targeted redistribution

Table 1: Preferred redistributive policy by caste and income.

TABLE 2—LEGAL IDENTIFICATION OF SCHEDULED CASTES AND SCHEDULED TRIBES

Selection criteria for scheduled castes
1. Cannot be served by clean Brahmans
2. Cannot be served by the barbers, water-carriers, tailors, etc. who serve the caste Hindus
3. Pollutes a high-caste Hindu by contact or by proximity
4. Is one from whose hands a caste Hindu cannot take water
5. Is debarred from using public amenities such as roads, ferries, wells, or schools
6. Will not be treated as an equal by high-caste men of the same educational qualification in ordinary social intercourse
7. Is depressed on account of the occupation followed and, but for that, occupation would be subject to no social disability
Selection criteria for scheduled tribes
1. Tribal origin
2. Primitive ways of life and habitation in remote and less accessible areas
3. General backwardness in all respects

Note: The above criteria were the required basis for the selection of "scheduled caste" and "scheduled tribe" communities,

Table 2: Legal identification of Scheduled Castes and Scheduled Tribes.

TABLE 3—ECONOMIC CHARACTERISTICS OF SCHEDULED CASTES AND SCHEDULED TRIBES: 1991

Variable	Scheduled castes	Scheduled tribes	Non-SC/ST population
Overall population share	16.4	7.9	75.4
Within-group characteristics:			
Urban population share	18.7	7.3	29.2
Literacy rate	37.4	29.6	57.8
Labor force participation rate	36	42	32.8
Percent labor force in the primary sector	77.1	90	62.1
Percent population below poverty line	48.3	52.0	31.4

Notes: All numbers are from 1991 census, except poverty figures which are from the Indian National Sample Survey (1993–1994), Planning Commission Estimates. The primary sector includes those employed in agricultural and allied activities. Within-group characteristics are reported as a percentage of the group population.

Table 3: Economic characteristics of SCs and STs.

TABLE 4—THE TIMING AND REASONS FOR RESERVATION CHANGES

Year of change	Reason for change	Commission responsible
1962	Double member jurisdictions abolished	Election Commission
1965	Creation of Haryana	Election Commission
1967	Revised in line with 1961 census	Delimitation Commission
1972, 1974, 1976	Revised in line with 1971 census	Delimitation Commission
1977, 1978, 1980	Revised in line with 1976 area restriction removal act	Election Commission

Table 4: Timing and reasons for reservation changes.

6.3 Tables 4 and 5: Reservation changes and descriptive statistics

Read Table 4:

- Table 4 lists the timing and reasons for changes in reservation.
- Changes are caused by institutional events: abolition of double-member constituencies, creation of Haryana, census revisions, and the 1976 area restriction removal act.
- This table is important for identification because it shows that changes in reservation follow institutional rules rather than discretionary state policy choices.

Read Table 5:

- Table 5 reports descriptive statistics for policy variables, reservation variables, demographic variables, and income.
- Average SC reservation is 14.04 percent; average ST reservation is 7.25 percent.
- Average education spending is 21.51 percent of total spending.
- Average SC welfare spending is 3.2 percent and ST welfare spending is 2.95 percent.
- The average job quota is 22.61 percent.

Economic message: There is meaningful variation in representation and policy outcomes across state-years. The policy variables also show that targeted spending is a small but politically salient part of state budgets.

TABLE 5—DESCRIPTIVE STATISTICS

Variable	Mean	Standard deviation
Policy variables		
Total spending	153	(87.36)
Of which:		
Education spending	21.51	(4.48)
SC welfare spending	3.2	(2.19)
ST welfare spending	2.95	(4.07)
Land reform index	0.12	(0.45)
Job quota	22.61	(10.39)
Political variables		
SC reservation	14.04	(5.36)
ST reservation	7.25	(7.69)
Election dummy	0.22	(0.41)
Demographic variables		
SC census population share	14.19	(6.47)
SC current population share	14.52	(6.02)
ST census population share	7.15	(7.57)
ST current population share	7.27	(7.47)
Census population density	205.46	(132.3)
Other economic variables		
State income per capita	1,036.22	(357.49)

Notes: The Data Appendix describes the construction and sources of variables. The data are for the 16 major Indian states, and the period 1960–1992. For Haryana, which split from Punjab in 1965, I use data for the period 1967–1992 and for Jammu/Kashmir I use data for 1962–1992. This gives a sample size of 519; deviations from this are accounted for by missing observations (on which, see the Data Appendix). SC and ST welfare spending is available post-1974.

Table 5: Descriptive statistics.

6.4 Table 6: Political reservation and general policy outcomes

Read:

- Table 6 examines total spending, education spending, and land reform.
- ST reservation raises total real per capita state spending.
- ST reservation reduces the share of spending devoted to education. In the fullest specification, a

one percentage-point increase in ST reservation lowers education spending by slightly less than 0.4 percentage points.

- SC reservation is not robustly related to total spending or education spending.
- Neither SC nor ST reservation has a robust effect on land reform legislation.

Economic message: ST reservation changes broad fiscal priorities. The fall in education spending is striking because STs have low literacy rates, suggesting that reserved legislators may prioritize more targeted or localized transfers over broad education spending.

6.5 Table 7: Political reservation and targeted policy outcomes

Read:

- Table 7 examines job quotas, SC welfare spending, and ST welfare spending.
- SC reservation has a strong positive effect on job quotas.
- ST reservation has a strong positive effect on ST welfare spending.
- ST reservation has weak or negative effects on job quotas.
- SC reservation is not strongly related to SC welfare spending.

Economic message: Representation affects policy in group-specific ways. SC legislators appear to expand individual-specific benefits such as job quotas, while ST legislators increase targeted welfare spending that may be more geographically concentrated.

TABLE 6—POLITICAL RESERVATION AND GENERAL POLICY OUTCOMES

	Total spending				Education				Land reform			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
reservation	−0.005	−0.009	−0.006	−0.004	−0.15	−0.141	−0.129	−0.115	0.007	0.008	0.01	0.016
	(0.005)	(0.005)	(0.005)	(0.007)	(0.122)	(0.121)	(0.116)	(0.146)	(0.013)	(0.013)	(0.013)	(0.015)
reservation	0.023***	0.028***	0.019***	0.019***	−0.542***	−0.385***	−0.252*	−0.380**	0.008	0.007	0.003	0.013
	(0.003)	(0.006)	(0.006)	(0.006)	(0.082)	(0.136)	(0.151)	(0.155)	(0.010)	(0.019)	(0.019)	(0.019)
census population share		0.011***	0.006	0.006		−0.039	−0.044	−0.068		−0.001	−0.005	−0.007
		(0.004)	(0.006)	(0.006)		(0.050)	(0.070)	(0.079)		(0.006)	(0.008)	(0.008)
census population share		−0.004	−0.011**	−0.011**		−0.168	0.015	0.078		0	−0.001	0.001
		(0.005)	(0.005)	(0.005)		(0.104)	(0.128)	(0.121)		(0.015)	(0.016)	(0.017)
current population share			0.012	0.011			0.025	0.17			0.01	0.016
			(0.008)	(0.009)			(0.101)	(0.141)			(0.015)	(0.015)
current population share			0.028***	0.029***			−0.587***	−0.691***			0.009	−0.014
			(0.007)	(0.008)			(0.177)	(0.192)			(0.020)	(0.020)
her controls	NO	NO	NO	YES	NO	NO	NO	YES	NO	NO	NO	YES
ljusted R^2	0.96	0.96	0.96	0.96	0.72	0.73	0.76	0.78	0.11	0.11	0.11	0.11
mber of observations	519	519	519	505	513	513	513	499	519	519	519	505

tes: Robust standard errors are in parentheses. Regressions include state and year dummies. The Data Appendix describes the construction and source of variables. The data are the 16 main states, and the period 1960–1992. For Haryana, which split from Punjab in 1965, the data starts in 1967, and for Jammu-Kashmir in 1962. This gives 519 servations. Deviations from this are due to missing data (on which, see the Data Appendix). Total spending is the log real state per capita expenditure. Education spending is pressed as a share of total spending. Land reform is a dummy variable which equals one in years a state passes a land reform act. SC/ST population variables are expressed as hare of total state population. SC/ST census population share refers to population shares as measured by the census when reservation was determined; SC/ST current population are is the population share measured in the current year. Other controls include census population density, state income per capita lagged one period and the election dummy.

Table 6: Political reservation and general policy outcomes.

TABLE 7—POLITICAL RESERVATION AND TARGETED POLICY OUTCOMES

	Job quotas				SC welfare spending				ST welfare spending			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
reservation	0.539***	0.493***	0.659***	0.675***	0.011	0.082	0.083	0.126	−0.524	−0.511	−0.436	−0.305
	(0.120)	(0.115)	(0.108)	(0.135)	(0.181)	(0.196)	(0.200)	(0.198)	(0.324)	(0.324)	(0.289)	(0.301)
reservation	0.199*	−0.316	−0.301	−0.371*	0.092	0.067	0.076	−0.024	0.713**	0.693**	1.019***	0.863***
	(0.109)	(0.204)	(0.225)	(0.223)	(0.103)	(0.104)	(0.108)	(0.127)	(0.335)	(0.330)	(0.301)	(0.325)
census population share		0.188***	−0.071	−0.113		−0.052	−0.055	−0.104		−0.063	−0.145	−0.195
		(0.065)	(0.073)	(0.081)		(0.077)	(0.080)	(0.068)		(0.151)	(0.170)	(0.169)
census population share		0.559***	0.842***	0.861***		−0.033	−0.028	0.07		0.033	0.19	0.317*
		(0.170)	(0.190)	(0.192)		(0.077)	(0.080)	(0.081)		(0.138)	(0.161)	(0.187)
current population share			0.648***	0.699***			−0.052	−0.092			−0.435**	−0.347**
			(0.132)	(0.172)			(0.121)	(0.123)			(0.189)	(0.172)
current population share			−0.675**	−0.689**			−0.12	−0.163			−0.576**	−0.706***
			(0.294)	(0.313)			(0.136)	(0.131)			(0.233)	(0.257)
ther controls	NO	NO	NO	YES	NO	NO	NO	YES	NO	NO	NO	YES
djusted R^2	0.88	0.9	0.9	0.91	0.76	0.76	0.76	0.76	0.83	0.83	0.84	0.84
umber of observations	519	519	519	505	274	274	274	274	298	298	298	298

otes: Robust standard errors are in parentheses. Regressions include state and year dummies. The Data Appendix describes the construction and source of variables. The data are r the 16 main states, and the period 1960–1992. For Haryana, which split from Punjab in 1965, the data starts in 1967, and for Jammu-Kashmir in 1962. This gives 519 servations. Deviations from this are due to missing data (on which, see the Data Appendix). Total spending is log real state per capita expenditure. Education spending is expressed a share of total spending. Land reform is a dummy variable which equals one in years a state passes a land reform act. SC/ST population variables are expressed as a proportion total state population. SC/ST census population share is population shares as measured by the census when reservation was determined; SC/ST current population share is the pulation share measured in the current year. Other controls include census population density, state income per capita lagged one period and the election dummy.

Table 7: Political reservation and targeted policy outcomes.

6.6 Table 8: Robustness checks

Read:

- Table 8 tests whether the main results survive alternative ways of controlling for population dynamics and state trends.
- Column 1 adds nonlinear census population controls.
- Column 2 adds lagged current population controls.
- Column 3 adds state-specific piecewise linear trends that change when reservation changes.

- Column 4 restricts the sample to windows around elections in which reservation changes.
- The main patterns remain: ST reservation raises total spending, lowers education spending, and raises ST welfare spending; SC reservation raises job quotas.

Economic message: The key results are not driven only by simple population trends or smooth state-specific policy changes. They are linked to discontinuous changes in representation.

TABLE 8—POLITICAL RESERVATION AND POLICY OUTCOMES: ROBUSTNESS CHECKS

	Nonlinear census population controls	Lagged current population controls	State-specific piecewise linear trend	Discontinuity sample
	(1)	(2)	(3)	(4)
PANEL A: Dependent variable: Total spending				
SC reservation	0.001	−0.005	−0.001	0.011
	(0.009)	(0.007)	(0.006)	(0.008)
ST reservation	0.016**	0.020***	0.025***	0.011
	(0.008)	(0.006)	(0.006)	(0.009)
PANEL B: Dependent variable: Education spending				
SC reservation	0.03	−0.103	−0.205	−0.238
	(0.197)	(0.157)	(0.135)	(0.223)
ST reservation	−0.358	−0.474***	−0.560***	−0.558**
	(0.247)	(0.159)	(0.150)	(0.236)
PANEL C: Dependent variable: Job quotas				
SC reservation	0.709***	0.590***	0.558***	0.345**
	(0.219)	(0.111)	(0.135)	(0.161)
ST reservation	−0.716**	−0.560**	−0.607***	−0.319
	(0.309)	(0.222)	(0.233)	(0.288)
PANEL D: Dependent variable: ST Welfare spending				
SC reservation	0.092	−0.233	−0.303	0.058
	(0.321)	(0.316)	(0.302)	(0.303)
ST reservation	0.705**	0.841**	0.864***	1.516***
	(0.303)	(0.353)	(0.326)	(0.359)

Notes: Robust standard errors are reported in parentheses. All regressions include (i) state and year fixed effects, (ii) state income per capita lagged one period, population density and election year dummy, and (iii) SC/ST census population share and SC/ST current population share as controls. Panel A includes as covariates SC/ST census population shares squared/100; panel B includes SC/ST one- and two-period lagged current population shares. Panel C includes a state-specific trend which increases by units of one in years in which reservation changes. The data are for the 16 main states, and the period 1960–1992. For Haryana, which split from Punjab in 1965, the data spans 1967–1992, and for Jammu-Kashmir 1962–1992. This gives 519 observations. Deviations are accounted for by missing data (on which, see the Data Appendix). Panel D regressions restrict the sample for each state to data for two years prior to an election in which the proportion reserved jurisdictions changed, the election year and two subsequent years. The number of observations is 187, except for ST spending for which it is 82.

* Significant at the 10-percent level.
** Significant at the 5-percent level.
*** Significant at the 1-percent level.

Table 8: Political reservation and policy outcomes - robustness checks.

7 Short summary

- The paper studies whether mandated political representation gives disadvantaged minorities more policy influence.
- The setting is Indian state legislatures, where constituencies are reserved for SC and ST candidates in proportion to group population shares.
- Reservation changes candidate and legislator identity, but the entire electorate still votes.
- The theoretical model shows that reservation affects policy only if parties cannot fully commit candidates to policies and legislators have influence after elections.
- The empirical analysis uses a 16-state panel from 1960 to 1992.
- Identification comes from state-specific changes in reservation caused by census updates and institutional rules, while controlling for population shares.
- SC reservation increases job quotas.

- ST reservation increases ST welfare spending, raises total state spending, and reduces education spending.
- Reservation has little effect on land reform.
- The results are robust to nonlinear population controls, lagged population controls, state-specific trends, and narrow windows around reservation-changing elections.
- The paper concludes that descriptive representation can translate into substantive policy influence.

8 Conclusion

8.1 Core conclusion

Pande shows that mandated political representation can increase policy influence for disadvantaged minority groups. In Indian states, increases in the fraction of reserved constituencies are associated with policy changes that favor the group receiving the mandate.

8.2 Economic intuition

Reservation changes who enters the legislature. When legislators have policy influence and parties cannot fully bind candidates to a party platform, changing legislator identity changes the bargaining weights inside the policymaking process. This produces more targeted redistribution toward represented groups.

8.3 Incremental contribution revisited

The paper links a major democratic institution - mandated representation - to actual policy outcomes. It also turns the Indian reservation system into an empirical test of whether candidate identity matters for policy. The evidence suggests that it does.

8.4 Implications

The findings imply that political institutions designed to increase representation can have substantive effects. Policies aimed at improving minority representation should therefore be evaluated not only by seat shares but also by changes in budgetary allocation, redistribution, and other policy outcomes.

8.5 Limitations

The design is not a randomized experiment at the level of constituencies or legislators. Reservation is tied to population shares, and the paper relies on institutional timing plus controls to isolate its effect. The paper also does not determine whether the observed policy changes improved welfare. In particular, the reduction in education spending associated with ST reservation raises an important question about the trade-off between targeted transfers and broad public goods.

8.6 Takeaway

The enduring takeaway is that mandated representation can matter for policy. In this setting, political reservation increased targeted redistribution toward disadvantaged groups, showing that who represents citizens can change what governments do.